

You are a financial analyst and are looking at the company with the following information for the past 5 years.

Perform a trend analysis and present your observations

BALANCE SHEET

ITEM	YEAR			
<u>Assets</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>
Current Assets				
Cash	\$40,000	\$40,000	\$40,000	\$40,000
Inventory	\$40,000	\$34,000	\$32,000	\$45,000
Accounts Receivable	\$75,583	\$69,984	\$64,800	\$60,000
Fixed Assets				
Property	\$144,000	\$146,000	\$148,000	\$150,000
Others	\$39,998	\$39,999	\$40,000	\$35,000
Total	\$339,581	\$329,983	\$324,800	\$330,000

Liabilities				
Current Liabilities				
Accounts Payable	\$75,000	\$60,000	\$52,000	\$43,000
Short Term Loans	\$20,000	\$32,000	\$27,000	\$25,000
Long Term Liabilities	\$50,000	\$50,000	\$50,000	\$50,000
Capital and Retained Earnings	\$194,581	\$187,983	\$195,800	\$212,000
Total	\$339,581	\$329,983	\$324,800	\$330,000

INCOME STATEMENT

ITEM	YEAR			
	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>
Sales	\$239,580	\$217,800	\$198,000	\$180,000
Cost of Goods Sold	\$98,398	\$93,713	\$89,250	\$85,000
Gross Profit	\$141,182	\$124,088	\$108,750	\$95,000
Selling and Distribution Expenses	\$20,000	\$20,000	\$20,000	\$20,000
Earning Before Interest and Tax (EBITDA)	\$121,182	\$104,088	\$88,750	\$75,000
Depreciation	\$3,000	\$3,000	\$3,000	\$3,000

Earning Before Interest and Tax (EBIT)	\$118,182	\$101,088	\$85,750	\$72,000
Interest	\$4,997	\$4,998	\$4,999	\$5,000
Earning Before Tax	\$113,185	\$96,090	\$80,751	\$67,000
Taxes	\$22,637	\$19,218	\$16,150	\$13,400
Net Income	\$90,548	\$76,872	\$64,601	\$53,600

Please use the following templates and fill up the blanks

ITEM	YEAR						
	<u>2021</u>	<u>YoY Growth</u>	<u>2020</u>	<u>YoY Growth</u>	<u>2019</u>	<u>YoY Growth</u>	<u>2018</u>
<u>Assets</u>							
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ITEM	YEAR						
		<u>YoY</u>				<u>YoY</u>	
<u>Ratios</u>	<u>2021</u>	<u>Growth</u>	<u>2020</u>	<u>YoY Growth</u>	<u>2019</u>	<u>Growth</u>	<u>2018</u>
<i>Liquidity Ratios</i>							
Current Ratio							
Acid Ratio							
<i>Efficiency Ratios</i>							
Asset Turnover							
Inventory Turnover							
Payables Turnover							
Receivables Turnover							
*Assume 50% of COGS are purchases							
<i>Leverage Ratios</i>							
Debt to Equity Ratio							
Debt to Assets Ratio							
<i>Profitability Ratios</i>							
Operating Margin							
Net Profit Margin							